# Car Plan: 2013 Toyota Corolla (salvage title)

A proposal for Dad | Ridgecrest, CA

Dad, I found a car for my DoorDash work: a 2013 Toyota Corolla (salvage title) for sale in Ridgecrest, asking $7,200 with about 120,414 miles. I'm asking for your help buying it. I'll pay you back in full with no interest, on a schedule that grows as my deliveries recover, and I'll insure the car under my own policy. Everything is written down so we both know exactly what to expect.

## The ask

- **You buy the car** from the seller. I'll negotiate the price down first (target $6,400) and get a mechanic's inspection before anyone pays.
- **I insure the car myself** under my own policy (about $120/month estimated), and I prepay about 16 months of it ($2,000) so it stays covered while my DoorDash account recovers from a contract violation that clears after 26 more deliveries. Nothing goes on your policy. Details on page 2.
- **I repay the car on a step-up schedule**, no interest: nothing while my deliveries recover, **$100 a month** once I'm steadily at 36+ deliveries a week, and **$300 a month** at 49+. I can pay extra in good weeks, and payments start by a date we agree on no matter what.
- **The car is in your name only** (or Grandpa's): you are the registered owner and I'm the main driver. When I've paid you back and my old car loan is resolved, you sign it over to me.

## What it costs you and what you get back

| | Target price | Full asking price |
|---|---|---|
| Purchase price | $6,400 | $7,200 |
| Sales tax (9.25%) | $592 | $666 |
| **Your total cost (what I repay you)** | **$6,992** | **$7,866** |
| Repayment | $0, then $100/month, then $300/month | $0, then $100/month, then $300/month |
| Example: $0 for 3 months, $100 for 9, then $300 | Paid off around month 33 (~2.8 years) | Paid off around month 36 (~3.0 years) |
| **You get back** | **All $6,992** | **All $7,866** |

I'll also pay DMV transfer and registration (about $250), and all maintenance, repairs, gas and registration renewals.

## How you're protected

- **You own the car.** It's registered only in your name, so it stays yours and is protected from the balance I still owe on my repossessed car.
- **I'm resolving my old car loan** with free help from legal aid (Greater Bakersfield Legal Assistance), and the title only moves to me once that's settled.
- **My own insurance policy**, paid by me, lists you as the owner and additional insured, and I'll give you proof of coverage.
- **A written agreement** (pages 4 and 5) covers payments, insurance and what happens if I fall behind.
- **A payment record** (page 6) so every payment is tracked.
- **Honest numbers:** page 3 shows my real DoorDash earnings and exactly when each payment step becomes affordable.

# Insurance: My Own Policy

I insure the car myself, so it costs you nothing and stays off your policy

**I pay for the car's insurance myself:** about $120 a month (an estimate for liability with a delivery endorsement; the real number comes from quotes). I'll prepay about 16 months of it ($2,000) so the car is covered while my deliveries recover. Your payments from me are just the car payments on the step-up schedule.

## What I'll check before we buy

You would own the car and I would be its main driver, kept at my place in Ridgecrest and used for DoorDash. Not every insurer will write a policy when the driver isn't the owner, so I'll get quotes first. Everything will be reported accurately. If the driver, address or delivery use is listed wrong, a claim can be denied or the policy canceled.

## Questions I'll ask insurers

- Can I insure a car owned by Dad, with me as the primary driver and Dad listed as additional insured?
- Can you add a **delivery or rideshare endorsement** for DoorDash use? (A personal policy alone usually won't cover delivery driving.)
- What does this 2013 Toyota Corolla (salvage title) cost per month with liability only, and with comprehensive and collision added?
- What liability limits do you recommend? (100/300/100 or higher is common, and it protects the owner too.)

## My promises on insurance

- I pay **every premium** myself and never let the policy lapse.
- I list you as **additional insured** (and as loss payee if I carry comprehensive and collision), and give you **proof of coverage** when we buy and at every renewal.
- I pay the **deductible** for any claim involving the car.
- I keep the delivery endorsement active and never drive for DoorDash without it.

# How I'll Cover the Payments

Based on my actual DoorDash numbers | Platinum Dasher

**My most recent week:** 23 deliveries, **$246.54** earned, about **$10.72 per delivery**. I was online 37.7 hours but only delivering for 5.9 of them, because orders are slow until my contract violation clears after 26 deliveries.

**My budget includes child support** (17% of my earnings), food and utilities. After those, I cover my own insurance at about **29** deliveries a week, can add a $100 car payment at about **36**, and the full $300 at about **49**.

**Prepaying my insurance doesn't fully cover the gap.** It pays about 16 months of it, but this car's running costs mean I'd still come up about $1 a week short at my current deliveries until I'm back up to speed.

## Weekly budget by number of deliveries

| Weekly | Now, insurance prepaid (23) | Now, after prepay (23) | $100/month step (36 deliveries) | $300/month step (49 deliveries) |
|---|---|---|---|---|
| DoorDash earnings | $247 | $247 | $386 | $525 |
| Miles driven (estimate) | 270 | 270 | 400 | 530 |
| Gas ($6/gallon) | -$62 | -$62 | -$92 | -$122 |
| Maintenance and tires | -$22 | -$22 | -$32 | -$42 |
| Child support (17%) | -$42 | -$42 | -$66 | -$89 |
| Phone and registration | -$26 | -$26 | -$26 | -$26 |
| Tax set-aside | -$4 | -$4 | -$9 | -$15 |
| **Available before insurance and payments** | **$91** | **$91** | **$161** | **$231** |
| My insurance (~$120/month) | $0 (prepaid) | -$28 | -$28 | -$28 |
| Car payment to Dad | $0 | $0 | -$23 | -$69 |
| Food and utilities ($400/month) | -$92 | -$92 | -$92 | -$92 |
| **Left over each week** | **-$1** | **-$29** | **$18** | **$42** |

Each step keeps about a third of what's left as a cushion for repairs and slow weeks.

## How I'll get from 23 to 36+ deliveries

- **Clear the contract violation.** At my current pace, 26 deliveries takes about 8 days. Offers should pick up after that.
- **Avoid another violation.** When a pickup runs late, the app sometimes offers to let me wait it out or pass the rest of the delivery without affecting my completion rate. Using that option gives me some control over preventing another late-pickup violation.
- **Use my idle time.** Only about 16% of my online time is spent delivering. Running Walmart Spark during the waits can add deliveries without adding hours.
- **Dash the peaks**, lunch and dinner, especially Friday through Sunday, when offers are most frequent.
- **Share my numbers.** I'll send you my weekly DoorDash earnings each month so you can see when each step is reached.

Pay per delivery and hours are from my DoorDash account (most recent week). Miles are estimated on the high side (about 10 per delivery plus 40 a week) with gas at $6/gallon and about 26 MPG in town for this car. Child support is figured at 17% of gross earnings. Because you'd own the car, my mileage tax deduction may be limited, which could raise my taxes; I'll confirm with a tax preparer.

# Family Vehicle Ownership, Use and Purchase Agreement

Between a family member who owns the car and the son who drives it | State of California

**1. Parties.** This Agreement is between the Owner and the Son named below.

| | Owner (Dad or Grandpa) | Son |
|---|---|---|
| Full name | | |
| Address | | |
| Phone | | |

**2. Vehicle.** The vehicle covered by this Agreement (the "Vehicle"):

| | |
|---|---|
| Year / make / model | 2013 Toyota Corolla (salvage title) |
| VIN | |
| License plate | |
| Odometer at purchase | _____ (listed at 120,414) |
| Purchased from / date | |

**3. Amounts.**

| | |
|---|---|
| Purchase price paid by Owner | $_____ |
| Sales tax and fees paid by Owner | $_____ |
| Owner's total cost = Son's purchase price for the Vehicle | $_____ |

**4. Ownership.** Owner buys the Vehicle with Owner's own money and is its sole registered and legal owner. Son is the primary driver with Owner's permission and does not own the Vehicle while this Agreement is in effect. Son's payments in section 5 go toward buying the Vehicle from Owner. After Son has paid the full amount, Owner will sign the title over to Son within 10 days of Son's written request.

**5. Repayment.** Son will pay Owner the purchase price with no interest on a step-up schedule: **$0 per month** until Son completes four weeks in a row with **36** or more deliveries; then **$100 per month**; and after four weeks in a row with **49** or more deliveries, **$300 per month** until paid in full. In any case, payments of at least $100 per month begin no later than _____ (date agreed together). Payments are due on the ____ day of each month. Son will share his weekly DoorDash earnings with Owner each month. Payments are made by a traceable method (bank transfer, Zelle or check), and Son may pay extra or pay off early at any time.

**6. Insurance.** Son will insure the Vehicle under his own policy, at his own cost, with at least liability coverage and a delivery or rideshare endorsement for DoorDash use, giving the insurer accurate information about the owner, primary driver, garaging address and use. The policy will list Owner as additional insured, and as loss payee if comprehensive and collision coverage is carried. Son pays all premiums and deductibles, keeps the policy active, and gives Owner proof of coverage at purchase and at each renewal. The Vehicle is never added to Owner's policy.

**7. Use and care.** Son is the primary driver and may use the Vehicle for personal use and delivery work. Son pays all gas, maintenance, repairs, registration renewals, tickets and tolls, keeps the Vehicle in good condition,

and will not let anyone else drive it regularly without Owner's agreement.

**8. Condition.** The Vehicle is bought in its current condition after a mechanic's inspection.

**9. Late payments.** A payment is late if not received within **15 days** of its due date. If Son expects to be late, he will tell Owner before the due date. Any change to the payment amount or schedule must be agreed in writing.

**10. Default.** If a car payment that is due is more than 30 days late, or the Vehicle's insurance lapses, Owner will give Son written notice and Son will have **10 days** to fix it. If Son does not, Son will return the Vehicle to Owner. Owner may keep the Vehicle or sell it at a fair price. If Owner sells it, Owner keeps the unpaid amount plus reasonable costs of sale and pays any amount left over to Son.

**11. If the Vehicle is totaled.** If insurance pays for the loss, the proceeds go to Owner first to cover the amount Son has not yet paid; any amount Son has already paid toward the purchase is refunded to Son from what's left.

**12. Whole agreement.** This is the complete agreement. Changes must be in writing and signed by both. If any part is unenforceable, the rest still applies. California law governs.

| Owner signature | Date | Son signature | Date |
|---|---|---|---|
| | | | |
| Owner printed name | | Son printed name | |
| | | | |

Optional: sign in front of a notary.

Plain-language template, not legal, tax or insurance advice. Confirm the insurance setup with the insurer, the registration with the DMV, the mileage deduction with a tax preparer, and anything involving the old car loan with legal aid or an attorney.

# Payment Record

2013 Toyota Corolla (salvage title) | Step-up car payment ($0 / $100 / $300) | Amount owed: $_____

| Month | Due date | Car payment | Paid by | Balance owed after | Owner's initials |
|---|---|---|---|---|---|
| 1 | | $ | | $ | |
| 2 | | $ | | $ | |
| 3 | | $ | | $ | |
| 4 | | $ | | $ | |
| 5 | | $ | | $ | |
| 6 | | $ | | $ | |
| 7 | | $ | | $ | |
| 8 | | $ | | $ | |
| 9 | | $ | | $ | |
| 10 | | $ | | $ | |
| 11 | | $ | | $ | |
| 12 | | $ | | $ | |
| 13 | | $ | | $ | |
| 14 | | $ | | $ | |
| 15 | | $ | | $ | |
| 16 | | $ | | $ | |
| 17 | | $ | | $ | |
| 18 | | $ | | $ | |
| 19 | | $ | | $ | |
| 20 | | $ | | $ | |
| 21 | | $ | | $ | |
| 22 | | $ | | $ | |
| 23 | | $ | | $ | |
| 24 | | $ | | $ | |
| 25 | | $ | | $ | |
| 26 | | $ | | $ | |
| 27 | | $ | | $ | |
| 28 | | $ | | $ | |
| 29 | | $ | | $ | |
| 30 | | $ | | $ | |
| 31 | | $ | | $ | |
| 32 | | $ | | $ | |
| 33 | | $ | | $ | |
| 34 | | $ | | $ | |
| 35 | | $ | | $ | |
| 36 | | $ | | $ | |
| 37 | | $ | | $ | |
| 38 | | $ | | $ | |
| 39 | | $ | | $ | |
| 40 | | $ | | $ | |

| Month | Due date | Car payment | Paid by | Balance owed after | Owner's initials |
|---|---|---|---|---|---|
| 41 | | $ | | $ | |
| 42 | | $ | | $ | |
| 43 | | $ | | $ | |
| 44 | | $ | | $ | |
| 45 | | $ | | $ | |
| 46 | | $ | | $ | |
| 47 | | $ | | $ | |
| 48 | | $ | | $ | |

Paid in full and title signed over on: _____ Owner's initials: _____